

in returns, seek explanations from taxpayers through notices and choose cases for further scrutiny.

Amit Maheshwari, Tax Partner, AKM Global, says integration of Artificial Intelligence has further enhanced efficiency. “The department’s dedicated analytics team utilises AI tools to swiftly detect inconsistencies in returns, enabling real-time notifications to taxpayers,” he says.

There are several instances of data analytics coming to the department’s aid. Last year, it detected a large number of cases where house rent allowance was claimed using bogus or unauthorised permanent account numbers. The trigger for the investigation was one case. A detailed investigation found thousands of such cases.

Similarly, a compliance drive launched last November helped the CBDT recover over ₹29,000 crore as undisclosed income from foreign assets from over 30,000 people. As part of the campaign, the income tax department sent notices through emails and SMSes to 19,501 taxpayers who had high foreign account balances or significant foreign interest or dividend income. The initiatives have

led to a sharp rise in the number of income tax filers as well as income tax collections over the years. The number of income tax return filers is expected to cross 100 million this fiscal. Further, despite significant tax cuts in Budget 2025-26, income tax collections are expected to rise 16% to ₹14.38 lakh crore this fiscal. The CBDT did

not respond to a detailed email query by *BT* on use of data analytics and mining.

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**THE NUMBER OF COUNTRIES
WITH WHICH INDIA HAS
INFORMATION EXCHANGE
AGREEMENTS**

WHAT NEXT

Tax administrators across the world, including the US, the UK, Singapore and Australia, are using data analytics. Experts say India has been late to the party, though the tax department is now steadily expanding the use of AI and machine learning along with data mining and analytics.

Sandeep Jhunjhunwala, M&A Tax Partner at Nangia Andersen, says while developed nations such as the US, the UK and Australia have long employed AI and data analytics to identify underreported income, flag dubious deductions and automate selection of cases for audit, India has rapidly advanced in this space with its own

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DATA-LED TAX MONITORING

► Project Insight is a data warehousing and business intelligence project for collection of information from various sources

► Use of tax collected at source on high-value purchases and foreign remittances is a monitoring tool

► Use of machine learning and data analytics for reviewing high-risk taxpayers, inconsistencies between income and expenditure

► During search and survey, tax authorities can gain access to the assessee’s computer, virtual digital spaces, social media

